GCE A LEVEL

A520U10-1 (Predicted – Moderate)

ECONOMICS – A level Component 1
Economic Principles

1 hour 30 minutes

ADDITIONAL MATERIALS

A calculator.

INSTRUCTIONS TO CANDIDATES

Use black ink or black ball-point pen. Do not use gel pen or correction fluid.

Write your name, centre number and candidate number in the spaces at the top of this page.

Answer all questions.

Write your answers in the spaces provided in this booklet. If you run out of space, use the additional page(s) at the back of the booklet, taking care to number the question(s) correctly.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets at the end of each question or part-question.

You are reminded of the necessity for good English and orderly presentation in your answers.

For Examiner's use only

Question	Maximum Mark	Mark Awarded
1–20	20	
21.	4	
22.	7	
23.	4	
24.	8	
25.	8	
26.	9	
Total	60	

Answer all questions.

SECTION A

For each question in Section A, write the letter (A, B, C, D or E) that corresponds to your answer in the box provided.

You are advised to spend approximately 30 minutes on this section.

1. Which of the following is NOT considered a factor of production? **[1]**

- **A** Land
- **B** Labour
- **C** Capital
- **D** Enterprise
- **E** Money

Answer: ______

2. If the demand for a good increases and supply simultaneously falls, the effect on equilibrium price and quantity will be: **[1]**

- **A** Price rises; quantity rises
- **B** Price rises; quantity uncertain
- **C** Price uncertain; quantity rises
- **D** Price falls; quantity falls
- **E** Price uncertain; quantity uncertain

Answer: ______

3. The price of a good rises from £10 to £12. As a result, quantity demanded falls from 200 units to 170 units. The price elasticity of demand is approximately: **[1]**

- **A** −0.15
- **B** −0.75
- **C** −1.00
- **D** −1.33
- **E** −1.75

Answer: ______

4. Which of the following is a feature of monopolistic competition? **[1]**

- **A** A single seller dominates the market
- **B** Products are identical between firms
- **C** There are significant barriers to entry and exit
- **D** Firms sell differentiated products in a market with many sellers
- **E** Firms have no control over the price they charge

Answer: ______

5. Economic profit differs from accounting profit because economic profit: **[1]**

- **A** Excludes explicit costs
- **B** Includes the opportunity cost of resources used by the owner
- **C** Is always greater than accounting profit
- **D** Ignores variable costs
- **E** Is calculated only in the long run

Answer: ______

6. A country runs a budget deficit for five consecutive years. All other things remaining equal, what will happen to the national debt? **[1]**

- **A** It will rise
- **B** It will fall
- **C** It will remain constant
- **D** It will rise only if interest rates fall
- **E** It cannot be determined

Answer: ______

7. The multiplier effect refers to: **[1]**

- **A** The process by which tax cuts increase government revenue
- **B** The ratio of consumer spending to disposable income
- **C** The proportional increase in national income arising from an initial injection of spending
- **D** The increase in exports resulting from a currency depreciation
- **E** The increase in money supply caused by central bank bond purchases

Answer: ______

8. A shop sells a product for £72 including 20% VAT. How much of this price is VAT? **[1]**

- **A** £6.00
- **B** £12.00
- **C** £14.40
- **D** £15.00
- **E** £18.00

Answer: ______

9. The Consumer Prices Index (CPI) in an economy was 110 in May 2023 and 115.5 in May 2024. What is the annual rate of inflation over this period? **[1]**

- **A** 0.5%
- **B** 4.76%
- **C** 5.00%
- **D** 5.5%
- **E** 11.0%

Answer: ______

10. The law of diminishing marginal returns states that: **[1]**

- **A** Total output always falls as more variable factors are added
- **B** Average cost rises as more workers are employed
- **C** Beyond a certain point, adding more of a variable factor to a fixed factor will reduce the marginal product
- **D** Profits fall as firms grow larger in the long run
- **E** Output rises proportionately as all factors increase

Answer: ______

11. The cross elasticity of demand between two goods is calculated as +2.5. This means the goods are: **[1]**

- **A** Strong complements
- **B** Weak complements
- **C** Unrelated
- **D** Weak substitutes

E Strong substitutes

Answer: ______

12. In the calculation of the UK CPI, new items are added to the basket of goods primarily because: **[1]**

A They have become cheaper
B They are taxed more heavily
C Government wants to raise inflation estimates
D Spending patterns have changed
E Older items have become illegal

Answer: ______

13. The chart below shows the share of household income spent on food and non-alcoholic drink in five countries: **[1]**

Country	% of household income on food
Nigeria	56%
Pakistan	42%
Mexico	22%
UK	10%
USA	7%

Which of the following best explains this pattern?

A Food has a negative income elasticity in richer countries
B As incomes rise, a smaller proportion of income is spent on necessities
C Food is cheaper in richer countries
D Poorer countries consume larger total quantities of food
E Richer countries spend less in total on food

Answer: ______

14. A current account deficit indicates that: **[1]**

A The country is spending more on imports of goods, services, income and transfers than it earns from exports of these
B The government is running a budget deficit
C The central bank is selling foreign exchange
D Net foreign investment into the country is negative
E The country's exchange rate must be falling

Answer: ______

15. Country X can produce either 80 units of wheat or 40 units of cloth. Country Y can produce either 60 units of wheat or 20 units of cloth. The theory of comparative advantage suggests that: **[1]**

A Country X should specialise in cloth, Country Y in wheat
B Country X should specialise in wheat, Country Y in cloth
C No trade is possible because Country X has an absolute advantage in both goods
D Both countries should remain self-sufficient
E Trade is only possible if the two countries have the same technology

Answer: ______

16. A government imposes a specific tax of £2 per unit on a demerit good. If demand is relatively price inelastic, the result will be: **[1]**

- **A** A small fall in quantity consumed and most of the tax falling on producers
- **B** A large fall in quantity consumed and most of the tax falling on consumers
- **C** A small fall in quantity consumed and most of the tax falling on consumers
- **D** No change in quantity consumed and all of the tax falling on consumers
- **E** A rise in quantity consumed and the tax being absorbed by producers

Answer: ______

17. A UK supermarket chain purchases one of its milk suppliers. This is best described as: **[1]**

- **A** Horizontal integration
- **B** Forward vertical integration
- **C** Backward vertical integration
- **D** Conglomerate integration
- **E** A hostile takeover

Answer: ______

18. In an economy suffering from demand-pull inflation, which combination of policies would be most consistent with reducing inflation? **[1]**

- **A** Cut interest rates, raise taxes, raise government spending
- **B** Raise interest rates, raise taxes, cut government spending
- **C** Cut interest rates, cut taxes, raise government spending
- **D** Raise interest rates, cut taxes, raise government spending
- **E** Leave interest rates unchanged, cut taxes, cut government spending

Answer: ______

19. A firm raises its price by 5% and its total revenue rises by 3%. The price elasticity of demand for its product is: **[1]**

- **A** Perfectly elastic
- **B** Elastic
- **C** Unit elastic
- **D** Inelastic
- **E** Perfectly inelastic

Answer: ______

20. A market has the following equilibrium: price £10, quantity 200. The maximum price anyone would pay is £30 and producers would be willing to supply at a minimum price of £2. Consumer surplus is: **[1]**

- **A** £1,000
- **B** £1,600
- **C** £2,000
- **D** £2,800
- **E** £3,200

Answer: ______

SECTION B

21. The charts below show (1) the Sterling exchange rate index (2015 = 100) and (2) the UK's current account balance (% of GDP) between 2016 and 2023.

Chart 1 – Sterling effective exchange rate index (2015 = 100)

2016: 100 | 2017: 90 | 2018: 92 | 2019: 89 | 2020: 86 | 2021: 92 | 2022: 83 | 2023: 88

Chart 2 – UK current account balance (% of GDP)

2016: −5.4% | 2017: −3.8% | 2018: −3.9% | 2019: −2.7% | 2020: −2.7% | 2021: −1.5% | 2022: −3.1% | 2023: −2.0%

Using the data, explain the possible link between the two charts. **[4]**

22. The diagram below illustrates the market for public transport services, which has positive consumption externalities.

[Diagram: a supply curve MPC = MSC, a private demand curve D = MPB, and a marginal social benefit curve MSB to the right of D = MPB. Free market equilibrium is at Q1, with social optimum at Q2 where MSC = MSB.]

Using the diagram, discuss whether the government should subsidise public transport services. **[7]**

23. Two rival firms, Alpha and Beta, are deciding whether to launch a major advertising campaign. The matrix below shows the resulting annual profits (£m) for each firm depending on the combination of decisions. Neither firm knows in advance what the other will choose.

		Firm Beta	
		Advertise	**Don't advertise**
Firm Alpha	**Advertise**	£30m, £30m	£60m, £20m
	Don't advertise	£20m, £60m	£45m, £45m

Use the data to explain where the Nash equilibrium lies in this matrix. **[4]**

24. The UK economy is operating with a negative output gap of approximately 2% of GDP. The government proposes a £30 billion fiscal stimulus package involving increased spending on public infrastructure.

Diagram 1: UK real GDP growth (%), 2019–2024

2019: 1.6% | 2020: −10.4% | 2021: 8.7% | 2022: 4.3% | 2023: 0.1% | 2024: 0.4%

Diagram 2: UK unemployment rate (%)

2019: 3.8% | 2020: 4.6% | 2021: 4.6% | 2022: 3.7% | 2023: 4.0% | 2024: 4.4%

Using the data, discuss whether such a fiscal stimulus will raise the UK's rate of economic growth.
[8]

25. The table below provides 2022 Human Development Index (HDI) data for two countries, Botswana and Vietnam.

	Classification	**HDI**	**Life expectancy**	**Mean years schooling**	**Expected years schooling**	**GNI/capita (PPP $)**
Botswana	High	0.708	61.1	9.9	12.2	16,780
Vietnam	High	0.726	73.7	8.4	13.1	11,397

Botswana is located in Southern Africa. Vietnam is in South East Asia.

Discuss whether it is reasonable to conclude that Vietnam has a higher level of human development than Botswana. **[8]**

26. The extract and chart below relate to global coffee prices.

Chart: Arabica coffee price (US cents per pound)

Jan 2022: 240 | Jun 2022: 225 | Dec 2022: 165 | Jun 2023: 175 | Dec 2023: 195 | Jun 2024: 225

Extract:

Global coffee prices remain volatile. Brazil, the world's largest producer, has experienced severe droughts in recent years, with some plantations losing up to 30% of their crop. Meanwhile, demand for coffee continues to grow strongly in emerging market economies such as China and India as incomes rise and Western-style coffee shop culture spreads.

However, there are also downward pressures on price. Vietnamese production of the cheaper robusta variety is expanding rapidly, and many consumers are willing to substitute robusta for arabica coffee. A possible slowdown in the global economy may also reduce demand from cafés and restaurants.

Using supply and demand diagram(s), discuss whether the data suggests that coffee prices are more likely to rise or fall in the future. **[9]**

END OF PAPER